

THE RATTY2TAILS PAPERS

MONETARY HISTORY SERIES

Financial Repression & Fiscal Dominance

How governments quietly conscript savers, banks, and central banks into servicing the debts they cannot otherwise afford — and why the toolkit is being taken off the shelf again.



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A long-form essay on the quiet mechanics of sovereign debt

TL;DR

- **Financial repression** is the toolkit — rate ceilings, captive institutional buyers, capital controls, liquidity mandates — that lets a government borrow more cheaply than an open market would allow, at the saver's expense.
- **Fiscal dominance** is the regime: the point at which a central bank's rate decisions are constrained less by the inflation outlook than by what the Treasury's balance sheet can survive.
- Between 1945 and 1980, real interest rates across the advanced economies were negative roughly half the time; the resulting "liquidation effect" quietly shaved several points of GDP a year off Britain's and America's war debts, with no default and almost no headline.
- The toolkit never fully disappeared, and its modern instruments — Basel III liquidity rules, quantitative easing, yield-curve control — look less like emergency medicine and more like standing policy as advanced-economy debt climbs back toward postwar highs.
- The UK's 2022 gilt crisis and Japan's eight-year experiment with yield-curve control are early tremors of what fiscal dominance looks like once it stops being a textbook curiosity.

INTRODUCTION & SCOPE

A Quiet Way to Owe Less

A government that has borrowed more than it can plausibly repay has, historically, two ways out. The loud way is default or restructuring — a formal admission, a renegotiation, a headline. The quiet way is to keep every promise on paper while making sure the money used to keep them is worth less, later, than the money that was borrowed. Economists call the second path *financial repression*, and it is, in Carmen Reinhart and Belen Sbrancia's framing, "a subtle type of debt restructuring" — one that never appears on a ledger as a write-down, because it is administered instead through interest-rate ceilings, captive buyers, and capital controls that make a below-market return the only return on offer.

This essay is about that toolkit, and about the condition that makes reaching for it politically unavoidable: *fiscal dominance*, the regime in which a central bank's room to fight inflation is constrained not by its own judgement but by what the government's debt-service bill can sur-

vive. The two ideas are not the same thing, but they are close cousins. Financial repression is the toolkit; fiscal dominance is the condition of needing it. One describes a set of instruments; the other describes the moment a central bank stops being able to say no to using them.

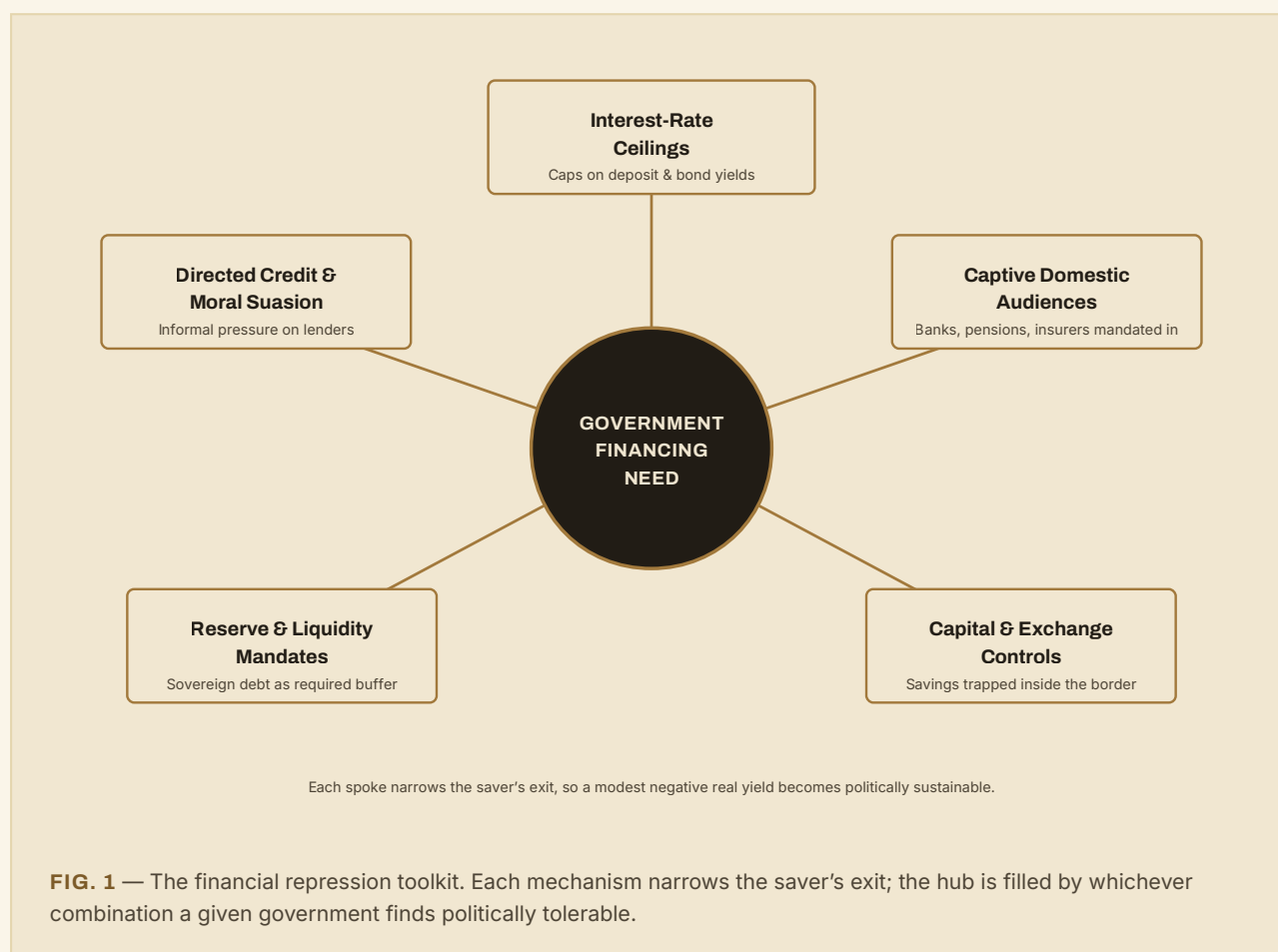
The shape of the argument runs in five movements. First, the mechanisms themselves — what financial repression actually consists of, mechanically, when a government or its regulators reach for it. Second, the historical case study economists reach for first: the three decades after 1945, when advanced-economy governments liquidated enormous wartime debts without a single major default, largely by paying savers less than inflation. Third, the theory of fiscal dominance proper — why a central bank can lose its independence not through a coup but through arithmetic. Fourth, the modern echoes: Basel III liquidity rules, quantitative easing, Japan's decade of yield-curve control, and the UK's 2022 gilt crisis, each of which rhymes with the postwar toolkit while wearing a different uniform. Fifth, and last, who actually pays for all of this, and whether there is any asset genuinely built to sit outside the toolkit's reach.

SECTION I

The Toolkit

Financial repression rarely announces itself as a single policy. It is closer to a family of measures that, individually, each has a respectable-sounding justification — prudential regulation, financial stability, capital-account management — and that, collectively, narrow a saver's options until a government bond paying less than the inflation rate becomes not a bad deal but the only deal available. Reinhart and Sbrancia catalogue the family precisely: *“directed lending to government by captive domestic audiences (such as pension funds), explicit or implicit caps on interest rates, regulation of cross-border capital movements, and (generally) a tighter connection between government and banks.”* Unpacked, the toolkit looks roughly like this:

RATE CEILINGS	A statutory or administrative cap on what banks may pay depositors, or on the yield a government pays its own creditors. The United States ran exactly this under Regulation Q from 1933 until its phase-out began in the early 1980s, holding bank deposit rates below what open-market competition would have produced.
CAPTIVE AUDIENCES	Regulation that compels institutional holders — pension funds, insurers, and banks — to hold government paper as a matter of prudential mandate rather than free choice, so that even an unattractive yield still finds a buyer.
CAPITAL & EXCHANGE CONTROLS	Restrictions on moving savings abroad in search of a better return. Britain's wartime exchange controls were not fully abolished until October 1979 — nearly the entire length of the postwar repression era — trapping British savings inside the domestic gilt market for a generation.
RESERVE & LIQUIDITY MANDATES	Rules requiring banks to hold a minimum stock of government securities against their deposits or liabilities, so that credit expansion is structurally tied to sovereign-debt absorption.
DIRECTED CREDIT & MORAL SUASION	Informal pressure — a phone call, a supervisory nudge, a gentleman's understanding — that steers bank lending toward government paper or preferred sectors without needing to be written into statute at all.



What unites the five is not any single piece of legislation but a shared effect: they each close off an exit. A saver facing a rate ceiling can still, in principle, put money elsewhere — unless capital controls make “elsewhere” illegal, or unless every institution that might offer a better rate is itself mandated to hold the same low-yielding paper. Financial repression, in other words, is less a policy than an accumulation of policies whose combined effect is to make the exit door harder to find than the entrance.

SECTION II

The Postwar Playbook

The case study economists reach for first is also the largest: the debts of the Second World War. The United States ended 1946 with federal debt held by the public at 106 percent of GDP — a wartime peak that, unlike almost every comparable episode in the history of heavily indebted states, was brought down without formal default. By 1974, that ratio had fallen to 23 percent. No creditor was told their bond would pay less than promised. No restructuring conference was convened. The debt was, in Reinhart and Sbrancia’s phrase, *liquidated* — not repaid in any straightforward sense, but eroded in real terms until it stopped mattering.

The mechanism was almost entirely below the surface. Reinhart and Sbrancia’s empirical study of the period found that across a sample of advanced economies, real interest rates — the nominal yield on government debt minus inflation — were negative roughly half of the time between 1945 and 1980. For the United States and the United Kingdom specifically, they estimate the resulting annual “liquidation effect” — the debt quietly erased each year by the gap between the interest rate promised and the interest rate that inflation actually delivered — at somewhere between two and four percent of GDP, year after year, for the better part of three decades. Compounded, that is not a footnote. It is most of the explanation for how a 106-percent debt load became a 23-percent debt load without anyone voting on it.

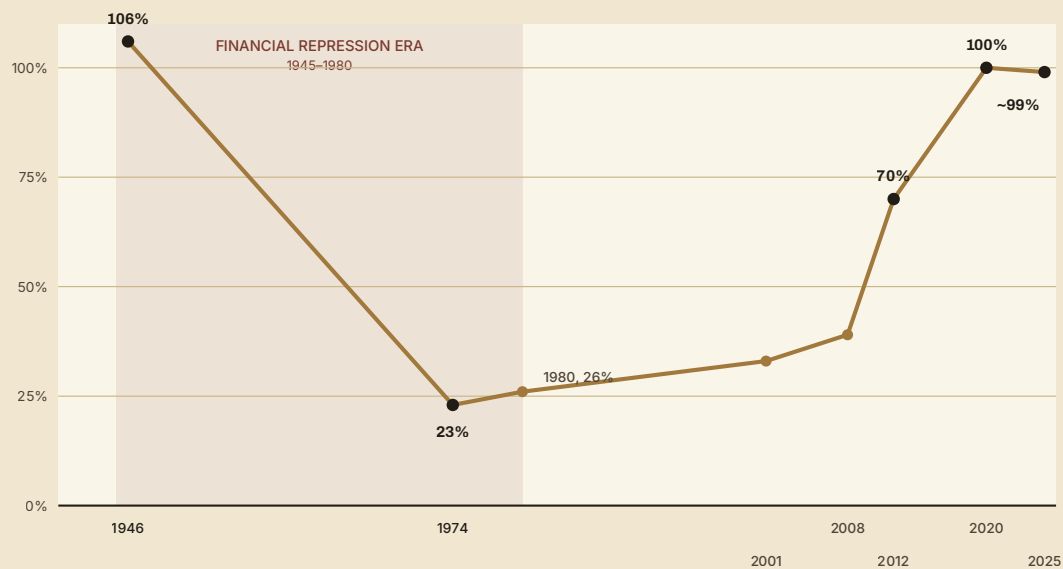


FIG. 2 — U.S. federal debt held by the public, percent of GDP, selected years. Source: U.S. Treasury/OMB historical tables; Reinhart & Sbrancia (2011, 2015). Intervening years smoothed for legibility.

Two mechanisms did most of the work. On the American side, Regulation Q kept bank deposit rates capped well below the inflation of the late 1940s and 1950s, while banks, insurers, and pension funds held Treasuries as a matter of course rather than active choice. On the British side, wartime exchange controls — kept in place, in one form or another, until Margaret Thatcher’s government abolished them in October 1979 — meant a British saver looking for a better return abroad was, for most of three decades, looking for something the law did not permit. Neither country needed to announce a policy called “financial repression.” They needed only to leave a set of wartime and Bretton Woods-era controls in place long after the war that justified them had ended, and let a low, steady drizzle of inflation do the rest.

“Financial repression is most successful in liquidating debt when accompanied by inflation... it need not be very high, by historic standards.”

REINHART & SBRANCIA, THE LIQUIDATION OF GOVERNMENT DEBT

What makes the postwar episode worth dwelling on is not its scale alone but its invisibility. A saver who kept money in a bank account through the 1950s and 1960s was not handed a bill. There was no line item, no announcement, no vote. The tax was collected entirely through the gap between a number printed on a passbook and the number of loaves of bread that number would buy a year later — and it was collected from an entire generation of savers who, in most cases, never knew the mechanism had a name.

SECTION III

Unpleasant Arithmetic

Fiscal dominance is the theoretical hinge that explains why a government reaches for the repression toolkit in the first place, and it is worth being precise about what the term means, because it has been used in two different senses. Milton Friedman used “dominance” in 1968 to describe which policy’s effects prevail when fiscal and monetary policy pull in opposite directions. Thomas Sargent and Neil Wallace, in their 1981 paper “Some Unpleasant Monetarist Arithmetic,” used it to describe something closer to capture: a regime in which the fiscal authority sets its deficit path first, as an unmovable given, and the monetary authority is left to accommodate it — eventually, if bond markets will not absorb the debt on their own, by creating the money to buy it.

The second sense is the one that matters here, and its central result is genuinely counter-intuitive. Sargent and Wallace showed that in a fiscally dominant regime, a central bank tightening monetary policy today — raising rates to fight inflation, in the ordinary textbook way — can produce *more* inflation later, not less. The logic is arithmetic rather than psychological: if the fiscal deficit is fixed and must be financed either by issuing more debt or by printing money, then raising rates today simply means more debt is issued today, at a higher cost, leaving a larger stock that has to be monetized eventually. Tighter money now, in other words, can mean looser money later — the “unpleasant” conclusion the paper is named for.

Eric Leeper’s 1991 “active/passive” framework offers a cleaner, more modern way to see the same point. Monetary policy can only be genuinely “active” — free to raise rates aggressively against inflation, whatever the fiscal consequences — when fiscal policy is “passive,” meaning taxes and spending adjust to keep the debt stock stable. The moment fiscal policy becomes “active” instead — deficits set by political necessity, independent of what the debt stock can sustain — monetary policy is mechanically forced into the passive role. That forced passivity, dressed in different language, is fiscal dominance.

A NOTE ON MECHANISM

None of this requires bad faith, or even coordination. A finance ministry sets a deficit it considers politically non-negotiable; a central bank, watching the same debt-service arithmetic, quietly narrows how hard it is willing to fight inflation. No memo changes hands. The dominance is structural, not conspiratorial — which is exactly what makes it difficult to see happening in real time, and easy to see only afterward.

The mechanism that makes fiscal dominance bite is duration and debt stock working together. When a government's outstanding debt is large and a meaningful share of it is short-maturity or floating-rate, a central bank's rate decisions feed almost immediately into the government's own interest bill. Raise rates to cool inflation, and the deficit widens mechanically through higher debt-service costs — before the rate hike has done anything to demand or prices. If the widening deficit is large enough, and the political tolerance for spending cuts or tax rises low enough, the central bank finds itself facing a choice that is not really a choice: keep tightening and risk a fiscal crisis of its own making, or step back and let inflation run a little hotter than the mandate would prefer. Financial repression is what a central bank reaches for once it has made that second choice quietly enough not to have to announce it.

SECTION IV**The Return**

None of the individual instruments now in use would describe itself as financial repression. Each has its own respectable justification — prudential regulation, financial stability, unconventional monetary policy for a liquidity trap. But laid side by side, the family resemblance to the postwar toolkit is difficult to miss.

The captive audience, reissued as prudential regulation

The clearest modern echo is also the most technical. Basel III's Liquidity Coverage Ratio, phased in from January 2015 and fully in force by 2019, requires regulated banks to hold enough "high-quality liquid assets" to survive a thirty-day stress scenario. Sovereign bonds sit at the top of that hierarchy — Level 1 assets, carrying a zero percent regulatory haircut, more favourable than almost anything a bank could otherwise hold. The rule exists for sound reasons: the 2008 crisis exposed exactly how thin many banks' liquidity buffers were. But its practical effect is to give every regulated bank in the world a standing, rule-based incentive to hold government paper — the captive audience of Regulation Q, reissued in the language of risk management rather than wartime finance.

Yield-curve control, unrepressed

Japan supplies the closest thing to a controlled experiment. From September 2016 until March 2024, the Bank of Japan pinned the ten-year government bond yield near zero through unlimited-quantity purchase operations — not as an emergency measure but as a standing policy stance maintained for the better part of eight years. It ended only once above-target inflation and unusually strong wage settlements gave the central bank enough political cover to let go. For nearly a decade, in other words, one of the world's largest bond markets had its price set not by supply and demand but by a central bank unwilling to let debt-service costs rise on a government debt load that stood, by 2025, at roughly twice the size of the economy that owed it.

When the market tests the constraint: London, September 2022

Britain's 2022 gilt crisis is not financial repression in the textbook sense — rates spiked rather than were held down — but it is the clearest recent illustration of the fiscal-dominance mechanism running in the open. A new government's unfunded tax-cutting mini-budget, announced on 23 September 2022, pushed thirty-year gilt yields up by roughly 120 basis points in three trading days. Because a large share of UK defined-benefit pension liabilities were hedged through leveraged liability-driven-investment strategies — roughly £1.6 trillion in assets, about two-thirds of UK GDP — the yield spike triggered a cascade of collateral calls that forced pension funds to sell the same long gilts whose falling price had triggered the calls in the first place. By the morning of 28 September, market participants were warning that around ninety percent of UK pension schemes were hours from exhausting their collateral. The Bank of England suspended its own gilt-sale programme and bought roughly £19.3 billion of long-dated gilts over thirteen days to stop the spiral. The intervention was framed, correctly, as a financial-stability operation rather than a monetary-policy pivot — but it demonstrated, in real time, how little room a fiscally stretched government leaves its central bank to simply let a bond market find its own level.

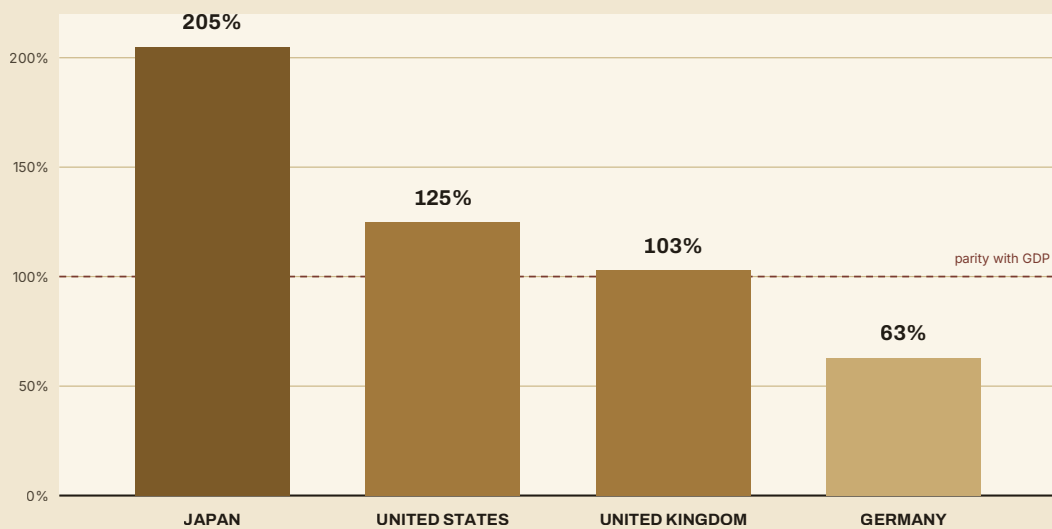


FIG. 3 — General government gross debt, percent of GDP, 2025. Source: IMF World Economic Outlook, October 2025 / April 2026 update.

The chart above is the backdrop against which all three episodes make sense. Japan’s debt load explains why its central bank tolerated yield-curve control for as long as it did. The United States and the United Kingdom, both back above the 100-percent threshold that once defined a wartime debt load rather than a peacetime one, are the two economies where the Reinhart-Sbrancia authors’ closing suggestion — that financial repression “may be part of the toolkit deployed to cope with the most recent surge in public debt” — looks less like a historical footnote and more like a live description of the moment.

SECTION V

Who Pays

Reinhart and Sbrancia are unambiguous about what financial repression actually is, stripped of its technical language: “*a tax on bondholders and savers via negative or below-market real interest rates.*” It is worth sitting with that sentence, because it is a genuinely unusual kind of tax. It appears on no tax return. No parliament votes on its rate. It is collected automatically, continuously, from anyone holding cash, a savings account, or a short-duration government bond, through nothing more than the gap between the interest printed on a statement and the price level that interest has to keep pace with.

The distributional shape of that tax is not neutral. Wealthier households typically hold a smaller share of net worth in cash and near-cash instruments, and have more practical means — foreign accounts, inflation-hedged assets, geared property — of stepping around a domestic rate ceiling, where capital controls allow it. The saver who absorbs the fullest force of financial repression is usually the least mobile one: a retiree living off a savings account or an annuity, a household with no meaningful holdings beyond a bank deposit, a small saver without access to foreign markets. The mechanism this essay's companion pieces in this series have traced under the heading of Cantillon effects applies here in a specific and unusually stealthy form — the earliest and best-positioned recipients of cheap financing benefit; the saver furthest from the point where new liquidity enters the system absorbs the erosion, often without ever being able to name what happened to their money.

None of this makes financial repression uniquely villainous as a matter of history. In its post-war incarnation it financed the reconstruction of economies that had just fought and won a war against fascism, and it was broadly — if quietly — tolerated as a shared, if invisible, burden. The ethical character of the mechanism is not fixed; it depends on what is being financed, how transparent the arrangement is, and whether the saver bearing the cost has any meaningful exit. What is constant, across every era in which the toolkit has been used, is that it has never required the saver's informed consent — only the absence of a workable alternative.

SECTION VI

The Escape Valve, and Its Limits

If every mechanism in the toolkit works by narrowing a saver's exit, the natural question is what, if anything, sits structurally outside its reach. A fixed-supply bearer asset held outside the regulated banking system is the cleanest candidate: it cannot be compelled into a Liquidity Coverage Ratio buffer because it is not a bank liability; it cannot be conscripted by a reserve requirement because it has no issuer to regulate; it has no coupon for a rate ceiling to cap, because it pays no coupon at all. Bitcoin is the most complete existing example of such an asset, not because of anything ideological about it, but because none of the traditional levers — rate ceilings, captive-audience mandates, capital controls on cross-border transfer — has an obvious point of purchase on a bearer instrument with no counterparty and no central issuer.

That is a genuine structural feature, and it is also a partial one. An asset that pays no yield does not solve the saver's problem of preserving *income* in real terms — only, potentially, of preserving *principal*. Its historical price volatility dwarfs anything the postwar repression era imposed on a bondholder, which makes it a poor direct substitute for the stable, spendable value a pensioner actually needs. And states retain real leverage even over an asset that cannot itself be repressed: taxation of realised gains, licensing and reporting requirements on the

exchanges and custodians that connect it to the regulated banking system, and, in some jurisdictions, outright restrictions that function much like the old exchange controls. An asset immune to repression at its core can still be repressed at its edges, wherever it touches a bank.

The honest conclusion is not that there is a clean escape from the mechanism this essay has traced, but that the mechanism has, for the first time in its history, a genuine edge case to contend with — an asset class built specifically to resist the five spokes of the toolkit in Figure 1, even if it resists them imperfectly and at a real cost in stability. Whether that edge case matters at scale is a question this series will keep returning to. What is not in question is the toolkit itself, or the willingness of fiscally stretched governments to reach for it again.

SUMMARY

The Quiet Decades, Revisited

Financial repression and fiscal dominance describe the same underlying situation from two different vantage points. Fiscal dominance is what happens to a central bank when a government's debt load makes ordinary inflation-fighting too costly to attempt in full; financial repression is the toolkit — rate ceilings, captive institutional buyers, capital and exchange controls, liquidity mandates — that a government and its regulators reach for once that constraint has taken hold. It happened once already, quietly, for the better part of three decades after 1945, and it left almost no trace in popular political memory: no vote, no announcement, no single moment a saver could point to and say *that* is when it happened. The individual instruments visible today — Basel III's liquidity rules, a decade of yield-curve control in Tokyo, a central bank buying gilts to stop a pension-fund fire sale in London — each carry their own respectable justification. Together, against a backdrop of advanced-economy debt loads climbing back toward the levels that produced the postwar toolkit in the first place, they describe the shape of something that has happened before. The question the current cycle poses is not whether governments will reach for this toolkit again. They already have. It is how many exits will still be open when they do.

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